

Conference Call Notes: BRICS Summit

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Conference Call Note

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BRICS Summit

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During the BRICS summit in New Delhi on 12-13 September, eyes will be on bilateral dynamics between Prime Minister Narendra Modi and President Xi Jinping and on Middle East tensions, with India hoping for a low-profile summit that doesn't provoke Washington or hand China a strategic win.

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A common BRICS currency is off the table, and digital payment integration remains aspirational, with India the primary blocker and China positioned to push harder when it hosts in 2027.

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All three participating analysts agree that BRICS will see incremental gains in relevance—through infrastructure financing, bilateral facilitation, and a partial payments architecture—but will not be a transformative alternative to the Western-led order.

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Speakers:

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Marc Gustafson, Managing Director for Analysis, Eurasia Group (moderator)

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David Meale, Practice Head, China, Eurasia Group

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Pramit Chaudhuri, Practice Head, South Asia, Eurasia Group

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Julia Thomson, Analyst, Brazil, Eurasia Group

India's Hosting Calculus: Manage, Don't Amplify

India's strategic objective for this summit is containment, not ambition. New Delhi wants a joint statement it can live with — one that doesn't antagonize Washington or hand China a headline victory. Modi has stabilized a rocky start with the Trump administration and has no interest in BRICS serving as

a provocation.

India has historically been the most skeptical original BRICS member, viewing the institution as a vehicle that benefits China more than anyone else. It has, alongside Brazil, blocked prior Russian and Chinese pushes for a benchmark BRICS currency, local-currency NDB (New Development Bank) lending to sanction-hit Russia, and a SWIFT-alternative payment system. That blocking coalition is fraying: South Africa has moved toward the Chinese position, and Brazil is softening on digital payments.

On the bilateral front, a Xi-Modi meeting is expected. Given that China hosts BRICS in 2027, Xi's attendance is described as near-certain.

The Middle East Fault Line: Can India Get a Joint Statement?

The expanded BRICS membership has introduced a structural tension: Iran was admitted as an expected anti-Western anchor, while the UAE and Saudi Arabia were expected to balance it. The Gulf conflict has scrambled those assumptions.

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Iran's President Pezeshkian has confirmed attendance. His presence at the same podium as UAE and Saudi representatives would itself be a significant signal.

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Saudi Arabia is expected to send a representative below head-of-state level; MBS has signed up for BRICS membership but not ratified, reflecting deliberate hedging.

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The UAE has not confirmed whether MBZ will attend. A UAE-Iran joint appearance would mark a notable, if implicit, intra-Gulf signal about where the war is heading.

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At the preceding SCO summit in Bishkek, a joint statement included reasonably strong language on the conflict with implicit criticism of the U.S. and Israel. India is expected to use that SCO language as a template to bring UAE on board at BRICS.

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There was no joint statement at the BRICS foreign ministers' meeting due to UAE-Iran tensions. Getting consensus language at the leaders' level remains India's live diplomatic challenge.

Digital Payments and De-Dollarization: Real Agenda, Limited Progress

A common BRICS currency is not under discussion. Two frameworks are on the table via the BRICS Payment Task Force, both of which stop short of requiring members to cede monetary sovereignty:

1.

Connecting national fast-payment systems (e.g., Brazil's PIX linked to India's UPI)

2.

Central bank digital currency (CBDC) interoperability

Neither is close to implementation. No BRICS member has launched a digital currency — all remain in testing phases. On 3 September, India reportedly blocked China's Alipay payment system from connecting with India's UPI on system on national security grounds, a move one speaker suggested is notable given that Alipay and Paypal connectivity exist between the US and China.

India remains the primary brake on integration, driven by both U.S. sensitivity and wariness about deepening financial linkages with China. Brazil has softened its resistance but still moves cautiously. China is expected to push this agenda more aggressively when it hosts in 2027.

The structural constraint on de-dollarization is private sector behavior, not government frameworks. Brazil and China established the option to trade in reais and renminbi in 2023; trade between the two countries remains predominantly dollar-denominated because private actors prefer it. Any meaningful shift, speakers argued, will be driven by changes in the dollar's global standing, not by BRICS architecture.

China's Play: Incrementalism, Not Disruption

One speaker pushed back on narratives crediting China with a grand pre-planned strategy behind Xi's current travel schedule — SCO in Bishkek, Egypt, BRICS in New Delhi, then Washington on the 24th. The Washington meeting was arranged by Trump, not Xi; the multilateral summits have been on the calendar for months. That said, Xi's flurry of travel is significant for his visibility, and his upcoming engagements will put him in an incrementally stronger position before he arrives in the US, demonstrating China's growing links in the Global South and Eurasia.

What China does want from BRICS:

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More non-dollar lending channels and expanded renminbi use in trade settlement

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Progress on digital payment system linkages (blocked for now by India)

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An institutional venue that signals China as a stable, responsible power — useful optics ahead of the Washington summit

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A platform to coordinate incrementally, perhaps in a way complementary to Shanghai Cooperation Organization engagement on trade facilitation, standards, and infrastructure, Indian diplomats are tracking what one speaker described as a deliberate Chinese effort to align SCO and BRICS working-group agendas

China is described as playing a "decades-long game" on the renminbi's global role. BRICS is one piece of that, not the centerpiece.

BRICS Expansion and the Hedging Signal

The admission of UAE, Saudi Arabia, Indonesia, and others — American treaty allies or close partners — marks a structural shift. These countries are hedging against U.S. reliability, not defecting from the Western order. One speaker noted this is new: previously, invited countries declined membership explicitly out of deference to Washington.

The BRICS bank's appeal to non-members (Bangladesh, Colombia, Uruguay are cited as members of the NDB despite not being BRICS members) reflects its flexibility on local-currency lending relative to the World Bank. With the U.S. having withdrawn from or paralyzed over 60 international bodies on green energy, speakers flagged a live question: can the NDB and the BRICS Contingency Reserve Arrangement (CRA — a \$100 billion facility that has not yet been deployed) be redirected toward green

transition finance for the Global South?

Key Watch Items

1.

Language in any Xi-Modi bilateral communiqué: Language along the lines of "civilizational dialogue" signals China views the meeting as substantive; mechanics-only language on border management signals a placeholder.

2.

UAE attendance and podium composition: Whether MBZ appears alongside Iran's president is the single clearest indicator of where Gulf states are positioning on the conflict.

3.

Joint statement language on the Middle East: Whether India successfully imports SCO-summit framing — implicit U.S./Israel criticism without naming — into the BRICS declaration.

4.

China's 400-person delegation: If confirmed, watch whether this signals a genuine push to expand business and tech linkages with India, or is simply logistical.

5.

Brazil's 2026 elections: A Flavio Bolsonaro win could result in Brazil reducing BRICS engagement or potentially exiting — one speaker said this is "a real possibility" depending on U.S. pressure, not a base case.

6.

China's 2026 BRICS hosting agenda: Expect intra-BRICS payment integration to move up the agenda; India's ability to block will be tested in a Chinese-hosted setting.

What Clients Are Asking

Iran conflict statement: Clients wanted to know whether BRICS would produce meaningful language on the Gulf war. Speakers expect India to push for a joint statement borrowing from SCO communiqué language, but success depends on persuading the UAE to accept framing that softens explicit reference to Iranian grievances against Israel.

Digital payments and dollar risk: The question of whether BRICS payment systems pose a real threat to dollar dominance surfaced repeatedly. Speakers were consistent: private sector preference for dollar settlement is the binding constraint, and no BRICS government framework has changed that — including the existing Brazil-China option to trade in local currencies, which has seen negligible uptake.

BRICS long-term viability: Clients appear skeptical of BRICS as a transformative institution. Speakers largely agreed, though with nuance: one called himself a "BRICS skeptic" and noted the institution emerged from a Goldman Sachs analyst's report rather than organic political logic; another argued China is slowly isolating India within BRICS and that the long-run trajectory favors Beijing's preferred architecture.

Trade among BRICS members post-tariffs: Clients asked whether Trump's tariff actions have accelerated intra-BRICS trade. Speakers said trade among members has grown, but BRICS itself is not the primary driver — the institution provides a multilateral legitimizing stamp for what are largely bilateral arrangements, and China's growing manufacturing surplus is creating friction with other members that BRICS has no mechanism to resolve.

Who's attending and what the optics signal: Questions focused on delegation sizes, leader attendance, and photo opportunities. Speakers noted Xi-Modi imagery will be closely watched in Washington ahead of the September 24 summit; Modi, as host, will be more restrained than at the SCO given his interest in managing the Trump relationship.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

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